Erudite Africa Connect

SECTOR INVESTMENT REPORT · ETHIOPIA

Mining and minerals

Opportunities, published returns and incentives, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Erudite Africa Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

Updated October 16, 2026
Refreshed monthly

Executive summary

Mining, led by gold, has become a major source of foreign exchange: the Minister of Mines reported over USD 5.7 billion in mining export earnings in the 2018 Ethiopian fiscal year, with 44 tons of gold generating USD 5.65 billion, and the IMF reports gold export volumes rising from just over 4 metric tons in 2023/24 to nearly 39 metric tons in 2024/25. The government is promoting untapped potash, iron ore, natural gas and gemstone resources and signed US$4.2 billion of iron ore, potash and gold agreements in March 2026. Investors benefit from lower income tax, duty-free import of capital goods, favorable depreciation rates and a one-stop investment service.

MINING EXPORT EARNINGS
Over USD 5.7 billion

GOLD OUTPUT AND REVENUE
44 tons; USD 5.65 billion

GOLD EXPORT VOLUME
From just over 4 metric tons to nearly 39 metric tons

GOLD CONTRIBUTION TO REAL GDP GROWTH
1.0 percent (from 0.1 percent in FY 2023/24)

01 Key indicators

Indicator	Value	Period
Mining export earnings	**Over USD 5.7 billion**	2018 Ethiopian fiscal year (2025/26)
Gold output and revenue	**44 tons; USD 5.65 billion**	2018 Ethiopian fiscal year (2025/26)
Gold export volume	**From just over 4 metric tons to nearly 39 metric tons**	2023/24 to 2024/25
Gold contribution to real GDP growth	**1.0 percent (from 0.1 percent in FY 2023/24)**	FY 2024/25
Mining sector revenue	**Over 3.5 billion USD**	Fiscal year before December 2025 (2024/25)
Potash and iron ore reserves	**Potash 350 billion metric tons (untapped); iron ore more than 1.1 billion tons**	As stated on EIC page (modified 2026-08)
Natural gas reserves	**198.2 billion m3, none exploited**	As stated in January 2026 brief
Statutory royalty rates	**Precious minerals 7%; gemstones 6%; metallic 5%; industrial 4%; construction 3%; mining income tax 25%**	FY 2018/19 legal regime

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02 Returns and yields

No international institution or Ethiopian government source we reviewed publishes an average return on investment for this sector. The closest published indicators we included are the statutory royalty and mining income tax rates and the reported gold export earnings. For a benchmark, the 91-day Treasury bill yielded a weighted average of 12.4 percent in February 2026 (National Bank of Ethiopia).

03 Investment opportunities

- **Potash, iron ore and gold deals.** In March 2026 the government signed US$4.2 billion of agreements covering iron ore (targeting two million metric tons annually), potash with Ethiopian Investment Holdings, and gold.
- **Natural gas and LNG.** Phase one of the Ogaden LNG project at Calub (111 million liters per year) was inaugurated in October 2025, and phase two adding 1.33 billion liters per year was launched.
- **Gas-based fertilizer.** Ethiopian Investment Holdings and the Dangote Group are developing a 3 million tons per year urea plant fed by Calub gas through a 108 km pipeline.
- **Import substitution in industrial minerals.** Ethiopia imported USD 688 million of fertilizers in 2021 and spends more than USD 8 billion a year on imports including coal, iron, fertilizer, marble, granite and petroleum.
- **Gemstones.** Ethiopia reports over 40 gem types, including opal, emerald and sapphire, and the Ministry states that the field is wide open for investors, including large-scale Afar opal mining.

04 Incentives

- The Ethiopian Investment Commission lists lower income tax, duty-free import of capital goods and favorable depreciation rates for mining investors.
- The Ethiopian Investment Commission offers a one-stop service to simplify the investment process for mining investors.
- Regional states now issue small-scale mining licenses, which the Minister of Mines credits with expanding activity.

05 Points to consider

- Gold export volumes are expected to normalize: the IMF projects around 30 metric tons in 2025/26 after nearly 39 metric tons in 2024/25, a useful baseline for revenue planning.
- Gold sales should be modeled at international prices, as the premium the National Bank of Ethiopia currently pays miners above international prices is to be phased out.
- Up-to-date sector data may need to be gathered directly: Ethiopia's latest EITI data are from 2019, and its EITI membership has been suspended since July 2022 over a missed reporting deadline and placed under enhanced scrutiny in February 2026.

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- Potash development calls for experienced partners: the CEO of Ethiopian Investment Holdings notes that earlier attempts did not succeed, and the March 2026 agreements bring in new partners with Ethiopian Investment Holdings to develop the resource.

A detailed risk and outlook assessment for a specific business or investment is part of Erudite Africa Connect's analyst due diligence. Contact us to arrange one.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Erudite Africa Connect members on the platform.

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